

million of the state's 100 million acres. Nationwide, it owns three million acres in fourteen states, an area four times the size of the state of Rhode Island. Another example is CSX, a southeastern railroad. In 1988, CSX sold an 80-mile right-of-way to the state of Florida. The land had a book value of almost zero, and the track was valued at \$11 million. In the deal, CSX retained off-peak use of the track—so revenues were unaffected (freight ships during off-peak hours)—and the sale brought in \$264 million after taxes. Talk about having your cake and eating it too!

Sometimes you'll find an oil company or a refiner that's kept inventory in the ground for forty years, and at the original cost of acquisition from the days of the Teddy Roosevelt administration. The oil alone is worth more than the current price of all the shares of stock. They could scrap the refinery, fire all the employees, and make a fortune for the shareholders in forty-five seconds by peddling the oil. It's no trouble to sell oil. It's not like selling dresses—nobody cares if it's this year's oil or last year's oil, or whether it's fuchsia or magenta.

A couple of years ago Channel 5 in Boston sold for something like \$450 million—that was the fair market price. However, when that station was originally awarded its license, it probably paid \$25,000 to file the proper papers, maybe \$1 million for the tower, and another \$1 or \$2 million for the studio. The whole shebang was worth \$2.5 million on paper to begin with, and the \$2.5 million was depreciated. At the time it was sold, this enterprise probably had a book value that was 300 times too low.

Now that the station has changed owners, the new book value will be based on the \$450-million sale price, so the anomaly will disappear. If you pay \$450 million for a TV station worth \$2.5 million on the books, the accounts call the extra \$447.5 million "goodwill." Goodwill is carried on the new books as an asset, and eventually it, too, will be written off. This in turn will create another potential asset play.

The accounting methods for "goodwill" were changed after the 1960s, when many companies vastly overstated their assets. Now it's the other way around. For instance, Coca-Cola Enterprises, the new company that Coca-Cola created for its bottling operations, now carries \$2.7 billion worth of goodwill on its books. That \$2.7 billion represents the amount that was paid for the bottling franchises above and beyond the cost of the plants, inventory, and equipment. It's the intangible value of the franchises.

Under the current rules of accounting, Coca-Cola Enterprises has to "write" this goodwill down to zero over the next four decades, while in reality the value of the franchises is rising by the year. By having to pay for goodwill, Coca-Cola Enterprises is punishing its own earnings. In 1987 the company reported 63 cents, but actually it earned another 50 cents that went to writing off the